

OPPORTUNITY REVIEW

DIRECT-TO- EMPLOYER GTM STRATEGY

Exploring a CHRISTUS Health DTE Health Plan



 KEY BENEFIT
ADMINISTRATORS

- Founded in 1979, headquartered in Indianapolis
- Largest Independently-Owned Full-Service Third-Party Administrator
- Specialize in Administration of Self-Funded Plans and Population Health Management
- Leader in the Direct-to-Employer Movement
- We Know and Understand the Market
- Experience Working with All Professional Teams: Agents, Networks, MGAs
- The Key Family of Companies is a Vertically Integrated group of benefit related organizations
 - 3,000+ Corporate Clients
 - 3 Million Members under Management
 - 700 Employees





Our Founding and Heritage:

47 Years of Striving for Honesty in Healthcare

Founded Key Benefit Administrators in 1979

After co-founding a life insurance agency in 1973 and Key Life Insurance in 1976, Larry Dust launched KBA in 1979 as a third-party benefits administrator focused on honest healthcare delivery.

Sold to Blue Cross/Blue Shield in 1985

Strategic partnership with BCBS of Indiana (then part of the Associated Group) provided capital and market access while maintaining operational independence.

Reacquired KBA in 1992

Larry bought the business back from BCBS in 1992, returning it to complete independence and patient-focused mission alignment.

Built the Largest Independent TPA in the U.S.

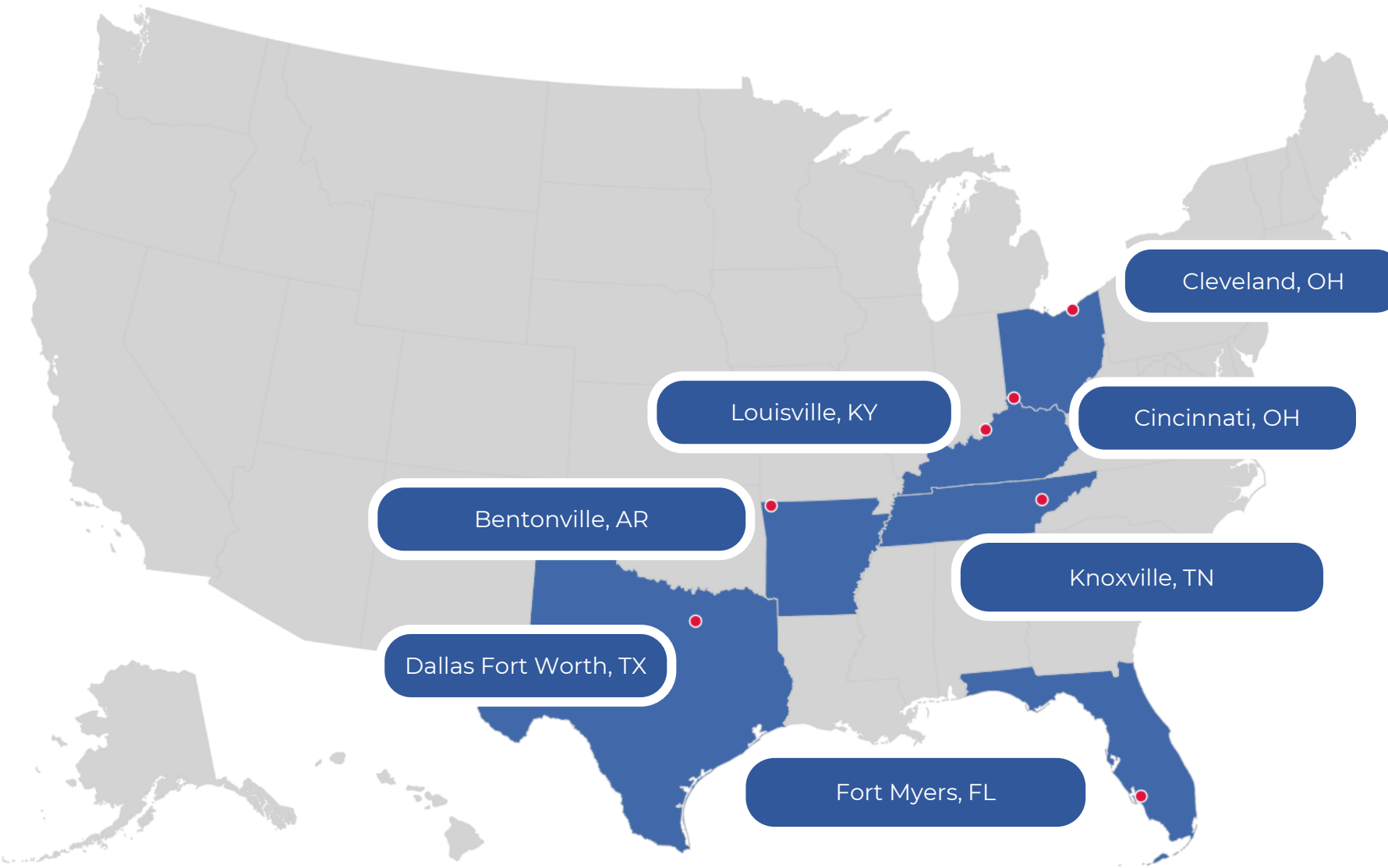
Under his leadership since the buyback, KBA has become the country's largest independently owned third-party administrator, managing millions of members across diverse markets.

Never Forgotten Who Gives Healthcare

KBA has never participated in reference-based pricing, does not take refunds, and delivers healthcare at 11% below market rates. Our commitment remains with providers and patients, not profit extraction.

Key Benefit Administrators

MARKET LEADER IN PRIVATE LABELED DTE PLANS



SIGNIFICANT OPPORTUNITY FOR PLAN GROWTH

Researched for the below highlighted service area

3,800+ Employers

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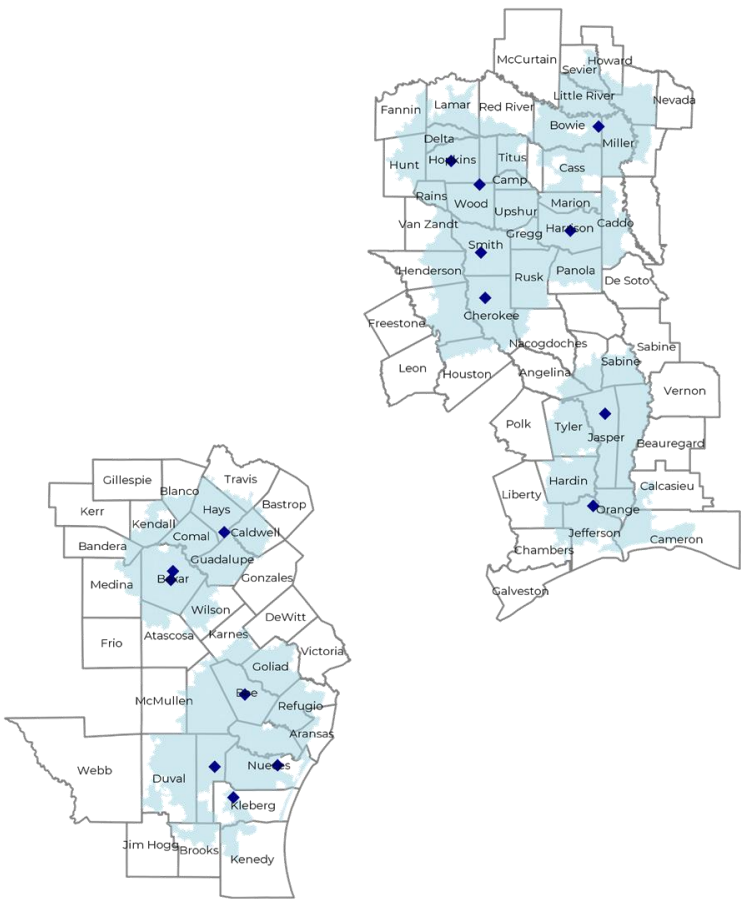
Target Market

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830,000+ Employees

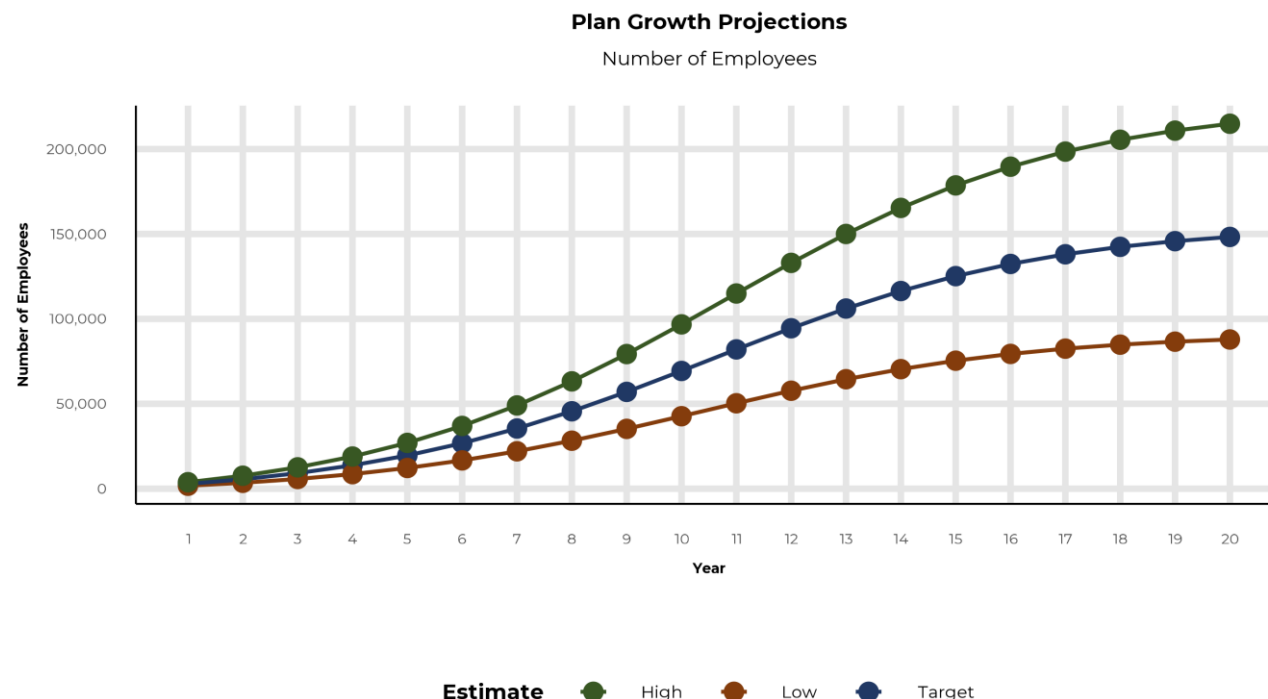
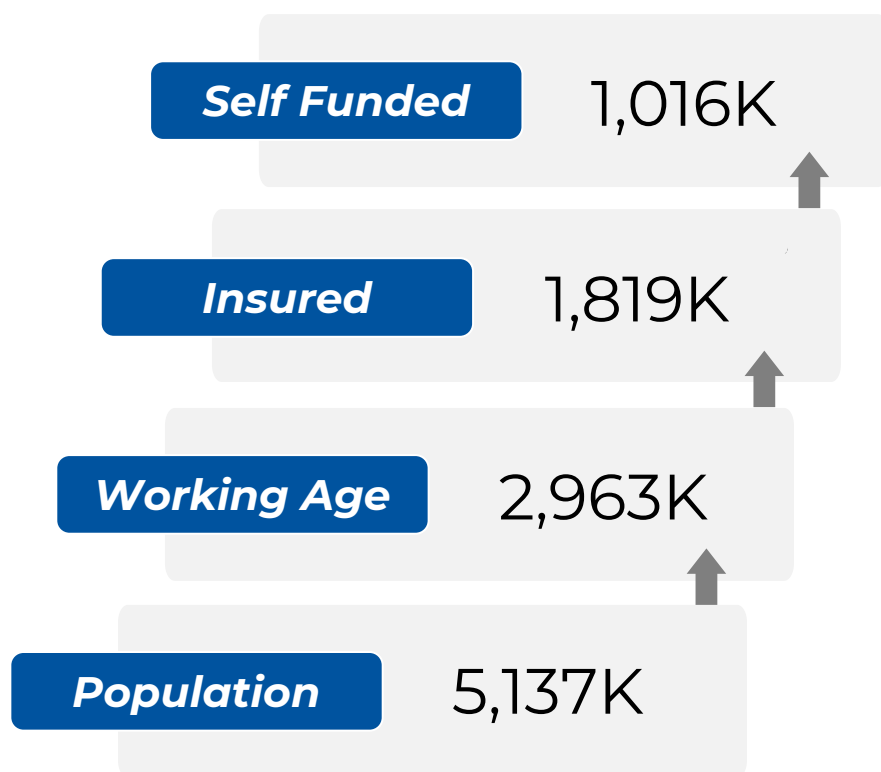
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1.5M+ Members



	Employer Size Group (# of Employees)					
Commercial Employers With Headquarters In Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	2,016	900	543	308	86	58
Total Employees at Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	151,200	135,000	162,900	215,600	172,000	348,000
Total Members with Employers Headquartered in Catchment Area	50-100	101-200	201-400	401-1,000	1,001-3,000	3,000+
	272,200	243,000	293,200	388,100	309,600	626,400

PLAN POTENTIAL GROWTH PATHS



Estimates includes the CHRISTUS Health service area in Hempstead, Howard, Lafayette, Little River, Miller, Sevier, Caddo, Calcasieu, Cameron, Anderson, Angelina, Aransas, Atascosa, Bandera, Bee, Bexar, Blanco, Bowie, Brooks, Caldwell, Camp, Cass, Chambers, Cherokee, Comal, Delta, Duval, Fannin, Franklin, Goliad, Gregg, Guadalupe, Hardin, Harrison, Hays, Henderson, Hopkins, Houston, Hunt, Jasper, Jefferson, Jim Wells, Karnes, Kendall, Kenedy, Kleberg, Lamar, Liberty, Live Oak, Marion, Medina, Morris, Nacogdoches, Newton, Nueces, Orange, Panola, Rains, Red River, Refugio, Rusk, Sabine, San Augustine, San Patricio, Smith, Titus, Travis, Tyler, Upshur, Van Zandt, Wilson, and Wood Counties

GROWING POWERFUL, LASTING PROFITABILITY

Early Stage

Gaining Name Recognition, Early Growth

New Revenue: **\$77.15M** New Profit: **\$9.98M**

Growth Stage

Strong Reputation, Strong Growth

New Revenue: **\$460.23M** New Profit: **\$60.41M**

Mature Stage

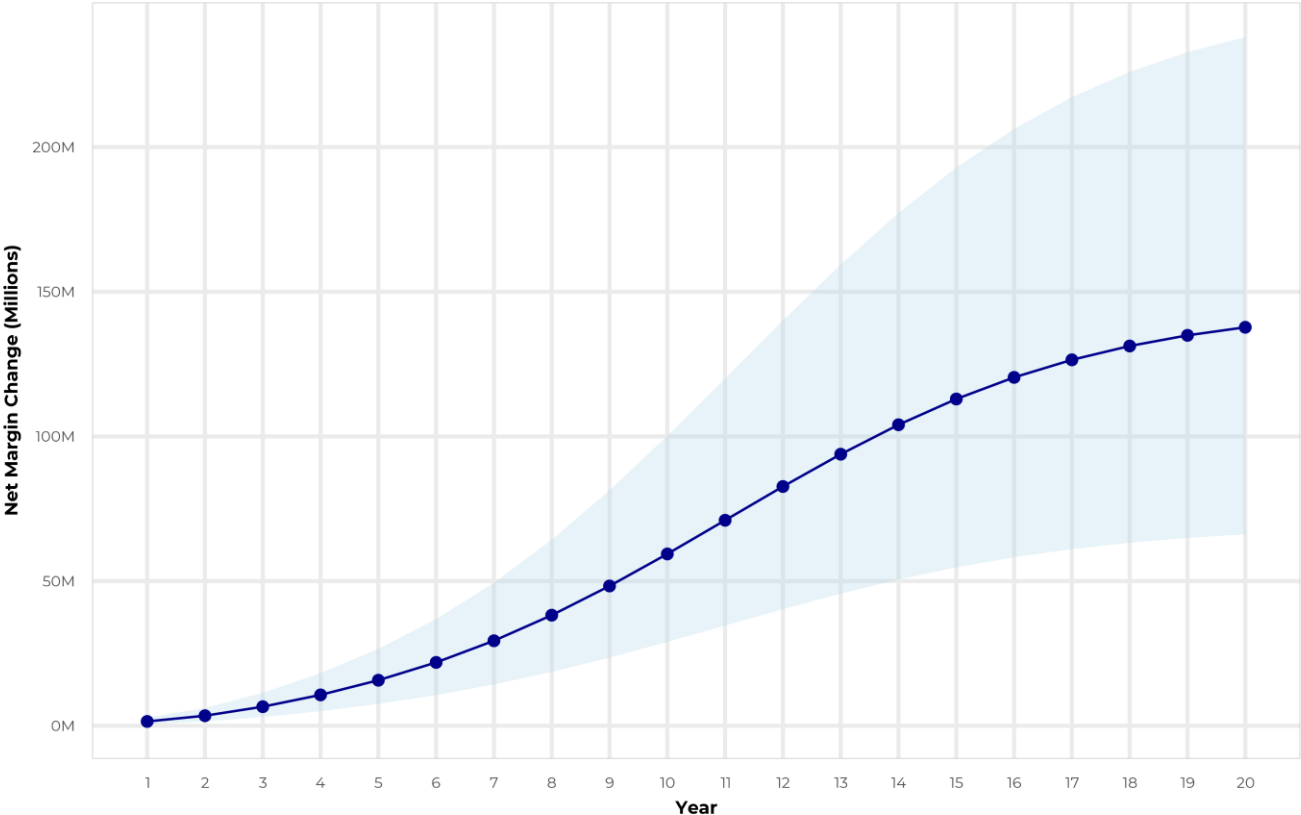
High Profitability, Market Saturation

New Revenue: **\$944.52M** New Profit: **\$123.97M**

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 12.8%

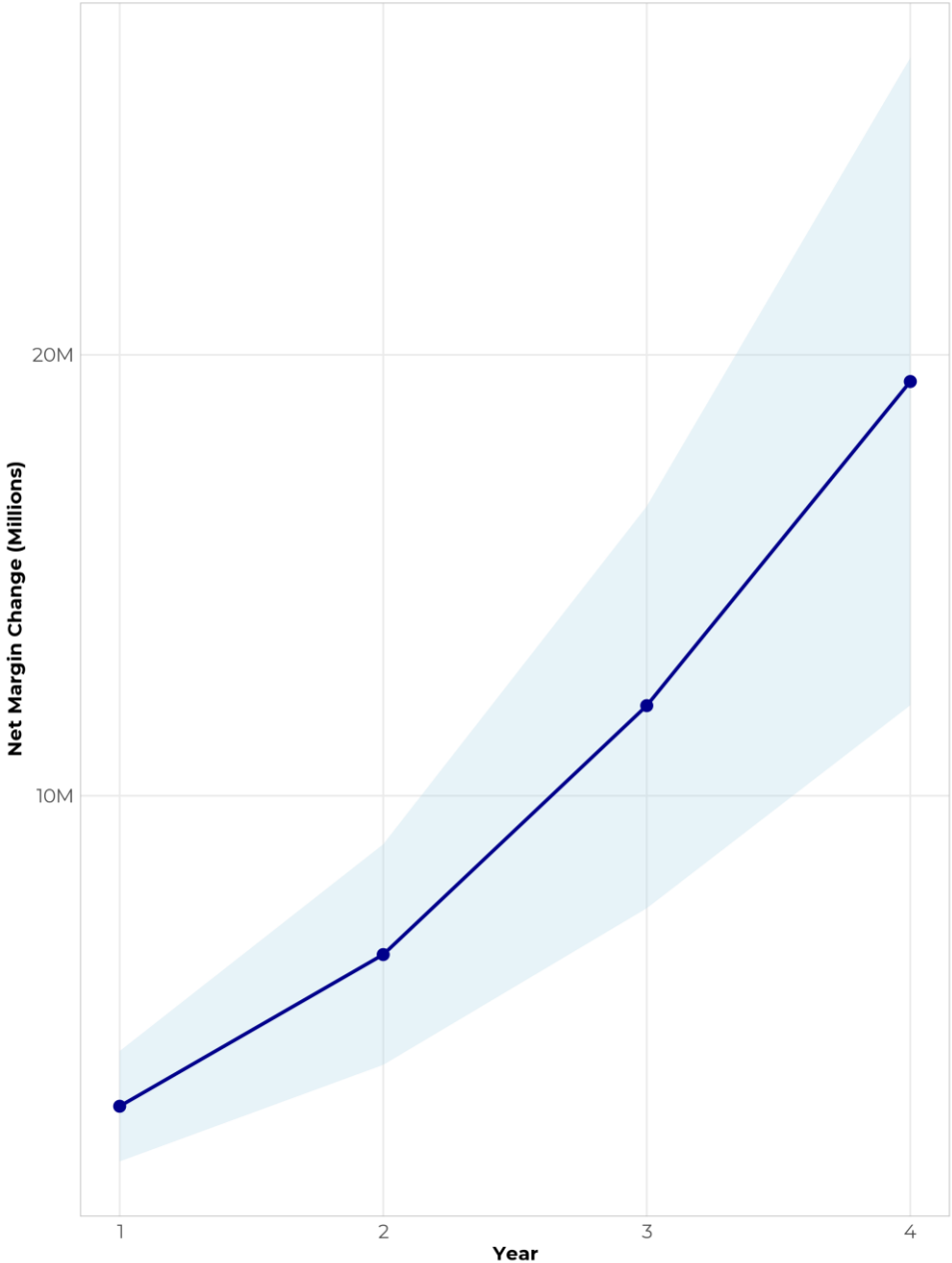


FOUR-YEAR PROJECTIONS

Net Margin Change Over Years

Variation by Member Growth With Target Estimate Assuming

50%+ Within-Plan Steerage and a Commercial Margin of 12.8%



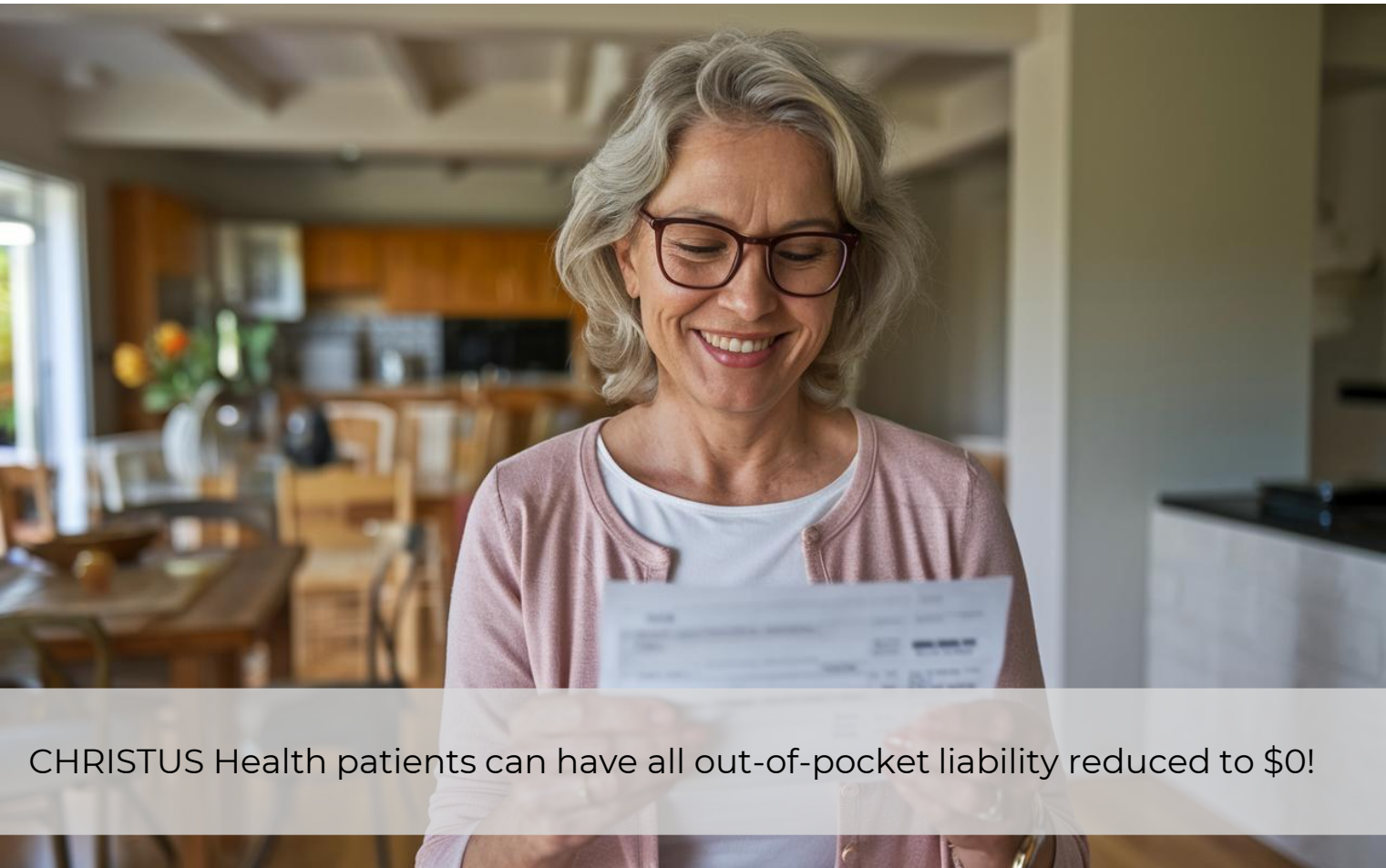
Target Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	5,000	10,000	16,500	24,800
Incremental Margin	3,229.4K	6,458.8K	12,026.6K	19,278.0K
Network Access Fee	60.0K	120.0K	198.0K	297.6K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	2,959.4K	6,398.8K	12,044.6K	19,395.6K

High Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	6,900	13,800	22,600	34,100
Incremental Margin	4,456.6K	8,913.2K	16,472.8K	26,507.2K
Network Access Fee	82.8K	165.6K	271.2K	409.2K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	4,209.4K	8,898.8K	16,564.0K	26,736.4K

Low Member Growth				
Metric	Year 1	Year 2	Year 3	Year 4
Number of Members	3,100	6,200	10,300	15,500
Incremental Margin	2,002.2K	4,004.5K	7,507.5K	12,048.7K
Network Access Fee	37.2K	74.4K	123.6K	186.0K
Implementation Fee (One-Time)	-150.0K	0.0K	0.0K	0.0K
Sales and Marketing Costs	-180.0K	-180.0K	-180.0K	-180.0K
Net Margin Change	1,709.4K	3,898.9K	7,451.1K	12,054.7K

THE BENEFIT STEERING THE PATIENT TO CHRISTUS

What Will this Claim Cost Me?



CHRISTUS Health patients can have all out-of-pocket liability reduced to \$0!

KEY BENEFIT
ADMINISTRATORS

Explanation of Benefits	
Heart Attack, Cardiac Surgery	
THE CHARGES	
Medical Bills	\$25,000
Healthcare out-of-pocket due to provider	\$4,500
Since your out of pocket maximum has been met, the rest of your eligible charges this year will be paid at 100%	
THE CREDITS	
OP Radiology/X-Ray	\$200
OP Diagnostic Labs	\$100
Preferred Hospital Stay (\$500/day, 5 days)	\$2,500
Critical Illness Benefit	\$2,000
Health Screening Benefit	\$125
Benefit Total	\$4,925
Out of Pocket Paid to Hospital	(\$4,500)
Balance Paid to HGA	\$425

PROJECTED PLAN GROWTH

Year	Employees	Members	Percent of Members Choosing CHRISTUS Health for Inpatient Care	Percent of Members Choosing CHRISTUS Health for Outpatient Care
1	2,800	5,000	60%	50%
2	5,600	10,100	60%	50%
3	9,100	16,400	65%	55%
4	13,800	24,800	67%	58%
5	19,600	35,300	68%	60%
6	26,800	48,200	68%	60%
7	35,400	63,700	69%	61%
8	45,600	82,100	69%	62%
9	57,000	102,600	69%	62%
10	69,300	124,700	70%	63%
11	82,000	147,600	70%	63%
12	94,500	170,100	70%	64%
13	106,100	191,000	71%	64%
14	116,400	209,500	71%	65%
15	125,200	225,400	71%	66%
16	132,400	238,300	72%	66%
17	138,000	248,400	72%	66%
18	142,400	256,300	72%	67%
19	145,800	262,400	72%	67%
20	148,300	266,900	72%	67%

KBA currently estimates that CHRISTUS Health has 18% inpatient market share, and 15% outpatient market compared to hospitals/clinics in the CHRISTUS Health service area (see slide 8).

Based on previous DTE experience, KBA expects a significant bump in patient steerage to CHRISTUS Health.

Additional steerage will occur from additional steerage patient benefits and the patient convenience card.

High estimates start nearly 10% higher than target with low estimates at 10% lower than target

YEAR 4 PROJECTED REVENUE AND PROFIT

Pre-DTE Cohort of 24,800 Employees	Inpatient	Outpatient	Professional	Total
Revenue†	\$ 16,250,485	\$ 24,157,915	\$ 11,281,541	\$ 51,689,940
Net Income‡	\$ 2,080,062	\$ 3,092,213	\$ 1,444,037	\$ 6,616,312

With DTE	Inpatient	Outpatient	Professional	Total
Revenue°	\$ 60,589,772	\$ 95,013,825	\$ 44,370,649	\$ 199,974,246
Net Income*	\$ 7,755,491	\$ 12,161,770	\$ 5,679,443	\$ 25,596,704

† Assuming proportional revenues from market shares of 18% (inpatient) and 15% (outpatient)

‡ Conservatively assuming a commercial margin of 12.8% (80% of the estimated commercial margin)

° Assuming 67% inpatient and 58% market steerage based on KBA narrow network DTE experience (see previous slide)

* Conservatively assuming a commercial margin of 12.8%, with a 10 percentage-point reduction to reflect competitive-edge rates and a 10 percentage-point increase due to lower billing costs and higher patient responsibility collections because of the member convenience card.

Total Increase in Net Income	\$ 18,980,391
Network Access Fee (Revenue) of \$1 PMPM	\$ 297,600
Total Profit Growth	\$ 18,985,191
Minus Implementation Fee (One-Time)	-\$ 0
Minus Sales and Marketing (Annual – Ongoing)	-\$ 180,000
Total	\$ 19,097,991

A PARTNER YOU CAN TRUST



**OUR OBJECTIVES
ARE ALIGNED**



**WE KNOW THE
MARKET**



**COMPLETELY
TRANSPARENT**



**WE HAVE THE
SOPHISTICATION
AND
INFRASTRUCTURE
TO EFFECTIVELY
COMPETE**



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